



Coty Inc.

(NYSE: COTY)

Financial Statement Analysis and Valuation

Fiscal Years 2022–2025

Instructor: Dr. Richard J. Fendler

Students: Nguyen, Milcah – 002939418; Khatiwada, Siddhant – 002930781; Patel, Ruchit – 002715503

Date: August 1, 2026

Coty Inc. (NYSE: COTY)

Sector: Consumer Staples / Beauty

Fiscal Year End: June 30 | Valuation Date: July 30, 2026

Recommendation: HOLD

Risk-Adjusted Valuation Range: \$2.70 to \$7.36 per share

Current Price as of July 30, 2026: \$2.69

Executive Summary

We recommend HOLD on Coty Inc. Our discounted cash flow model produces a value of \$7.36 per share at a 7.65% weighted average cost of capital and a 1.0% terminal growth rate, compared with the verified July 30, 2026 closing price of \$2.69. We report a valuation range rather than a point target because the result is highly sensitive to the discount rate.

Holding the forecast and 1.0% terminal growth rate constant, the team's rounded \$2.80 reference price implies a discount rate of about 11.9%. The verified July 30, 2026 closing price of \$2.69 is approximately reproduced at a 12.0% discount rate. Both rates are materially above the 7.65% base-case WACC and close to the estimated 11.32% cost of equity, indicating that the market assigns more risk to Coty than the base case captures. Given FY2025 times interest earned of 1.13x, the higher required return is understandable. Our risk-adjusted range of \$2.70 to \$7.36 spans discount rates of 12.0% to 7.65%.

Investment Thesis

Thesis 1: Reported FY2025 earnings understate operating earning power

Reported operating income of \$241.1M absorbs a \$212.8M asset impairment, \$91.8M of restructuring, and \$70.3M of early termination costs. Team-normalized EBIT of \$616.0M is the more representative measure of earning power. Gross margin rose in every year of the review period, from 63.5% in FY2022 to 64.8% in FY2025, and improved again in FY2025 despite a 3.7% revenue decline. Operating cash flow was positive in all five years and covered capital expenditure about 2.3 times in FY2025.

Thesis 2: The weakness in Consumer Beauty is operating, not accounting

Consumer Beauty revenue fell 8% in FY2025, compared with a 1% decline in Prestige, and its adjusted operating income fell 38%. The deterioration was therefore not explained by noncash charges alone. Results reported after FY2025 and available by our valuation date support this assessment. For the nine months ended March 31, 2026, revenue declined 2% on a reported basis and 6% on a like-for-like basis, and Coty recorded an additional \$362.8 million impairment against Consumer Beauty in the third quarter.

Thesis 3: Leverage sets the ceiling on the equity

The debt ratio ranged from 64.8% to 70.6% during the review period, times interest earned fell to 1.13x in FY2025, and free cash flow margin declined from 10.4% in FY2022 to 4.7% in FY2025. The July 2026 Gucci agreement provides approximately \$400 million of proceeds that can support debt reduction, reinvestment in core brands, and organizational changes. It also creates a Prestige revenue gap after the transition.

Investment Recommendation

We would move to BUY on evidence that the cost of capital the market applies to Coty is falling: stabilization in Consumer Beauty like-for-like revenue, times interest earned recovering above roughly 2.0x, and a credible plan to replace the Gucci contribution. We would move to SELL if free cash flow margin falls below roughly 3%, if further impairments are recorded against Consumer Beauty, or if the FY2026 like-for-like decline persists into FY2027.

The assignment requires Coty to be treated as a private company. As a simplifying assumption, we use book-value capital weights in the WACC calculation. Appendix B sets out the WACC build and Appendix D the full sensitivity grid.

Company Data

Last Close (July 30, 2026)	\$2.69 per share
Shares Outstanding	872.3M
Market Capitalization	\$2.35B
Total Debt (FY2025)	\$3.96B
Cash and Equivalents (FY2025)	\$0.26B
FY2025 Net Revenue	\$5.89B
FY2025 Team-Normalized EBIT	\$0.62B

Figure 1: Company Data

Source: Company Filings (SEC 10-K), Yahoo Finance Historical Data; Team Analysis, 2026

Valuation Results

Discount Rate	Value per Share
6.65%	\$9.46
7.65% (model base case)	\$7.36
8.65%	\$5.82
10.00%	\$4.28
11.90% (team reference)	\$2.80
12.00% (market implied)	\$2.70
Risk-adjusted range	\$2.70 to \$7.36
Current price	\$2.69

Figure 2: Valuation Results

Source: Team Analysis, 2026

Note: The 10.0% and 12.0% rates are supplemental sensitivity scenarios. The team's rounded \$2.80 reference price implies approximately 11.9%. The verified July 30, 2026 close was \$2.69, which is approximately reproduced at 12.0%.

Key Financial Data

	FY23A	FY24A	FY25A
Net revenue (\$M)	5,554	6,118	5,893
Revenue growth	4.7%	10.2%	(3.7%)
Gross margin	63.9%	64.4%	64.8%
Operating margin	9.8%	8.9%	4.1%
Net margin	9.1%	1.5%	(6.2%)
Reported EPS	\$0.58	\$0.09	(\$0.44)
Adjusted EPS	n/a	\$0.37	\$0.22
Times interest earned	2.11x	2.17x	1.13x

Figure 3: Key Financial Data

Source: Company Filings (SEC 10-K), FY2023 to FY2025; Team Analysis, 2026

Developments Since FY2025

Coty agreed on July 7, 2026 to transition Gucci Beauty back to Kering for approximately \$400M, including \$250M received at signing. Coty will operate the brand through at least June 30, 2027. L'Oréal's successor license begins July 1, 2027, subject to regulatory approvals.

Q3 FY2026 reported operating loss of \$372.0M, including a \$362.8M impairment of the Consumer Beauty business. Q3 adjusted EBITDA fell 38% to \$127.0M.

Nine-month FY2026 net revenue of \$4,537.4M, down 2% reported and 6% like for like. FY2026 adjusted EBITDA guidance of \$838M to \$848M.

Figure 4: Developments Since FY2025

Source: Company Filings (SEC 8-K), July 2026; Q3 FY2026 Results, May 2026

I. Company Overview

Coty is dual-listed (NYSE: COTY; Euronext Paris Professional Segment) and headquartered in New York. Coty is a controlled company under NYSE rules, with JAB Beauty B.V. (an affiliate of JAB Holding) historically holding a majority of Class A shares.

Coty Inc. is one of the world's largest pure-play beauty companies, tracing its roots to 1904 when François Coty founded the firm in Paris around a single fragrance. Coty operates across three core categories: fragrance, color cosmetics, and skin and body care, and holds the second-largest global position in fragrance.

Segments

Prestige (about 65% of FY2025 net revenue): fragrance, color cosmetics, and skincare sold through department stores, perfumeries, duty-free, and prestige e-commerce. Licensed brands include Burberry, Calvin Klein, Chloé, Gucci, Hugo Boss, and Tiffany & Co., alongside owned brands such as philosophy and Lancaster. Prestige fragrance alone made up about 60% of total FY2025 revenue. **Consumer Beauty** (about 35% of FY2025 net revenue): mass fragrance, cosmetics, and body care sold through hypermarkets, drugstores, and mass e-commerce, including CoverGirl, Max Factor, Rimmel, and adidas. This segment has faced sustained pressure from private label and digitally native challengers. Consumer Beauty's operating loss was driven mainly by asset impairment charges (about 820 basis points of margin impact), layered on top of an 8% revenue decline from weaker U.S./European color cosmetics sales and competitive pricing pressure in Brazilian body care (Figures 6 and 7).

Strategic History

The 2016 P&G Beauty acquisition, which included CoverGirl, Max Factor, and Wella, roughly doubled Coty's size but left the company overleveraged. Coty sold a majority stake in its Professional and Retail Hair business to KKR in 2021 to simplify the portfolio and reduce leverage. Under Sue Nabi's Transformation Plan, Coty restored fragrance profitability and reduced financial net leverage materially from FY2021 levels.

In December 2025, Coty sold its remaining 25.8% Wella stake to KKR for \$750 million of upfront cash, completing the Wella monetization program and supporting debt repayment. That month, Sue Nabi and Peter Harf stepped down, and Markus Strobel was appointed Executive Chairman and Interim CEO effective January 1, 2026. The July 2026 agreement to transition Gucci Beauty back to Kering remains a structural overhang. Coty will operate the brand through at least June 30, 2027 and expects approximately \$400 million of consideration.

Operations

Coty manufactures roughly four-fifths of its own products (U.S., Brazil, Europe), sells in about 120 countries, and generated about \$1.0B in e-commerce revenue in FY2025. It opened a new Barcelona supply chain hub in FY2025 and is shifting mass/entry-prestige fragrance production for the U.S. market domestically to reduce tariff exposure.

Industry Overview

Estimates vary by methodology, but most place the global cosmetics market in the \$375–450B range for 2026, with consensus long-run growth in the 6–7% CAGR range through the mid-2030s (Fortune Business Insights, Precedence Research). Per Euromonitor International, global beauty and personal care sales reached \$593 billion in 2024, growing 6.7% year-over-year, a deceleration from 8.7% growth in 2023. McKinsey's State of Beauty 2025 report similarly found the industry grew 7% annually from 2022–2024 but now projects growth slowing to 5% annually through 2030, citing market saturation and shifting consumer value-consciousness. This deceleration is broadly consistent with the softness Coty describes in its own FY2025 results, including US retailer destocking and continued pressure in mass color cosmetics (Figures 9 and 10).

Company Snapshot	
Ticker	NYSE: COTY
HQ	New York, NY
Founded	1904
Global Fragrance Rank	#2
Countries Served	~120
Employees (FY25)	~11,636

Figure 5: Company Snapshot
Source: Company Filings & Yahoo Finance

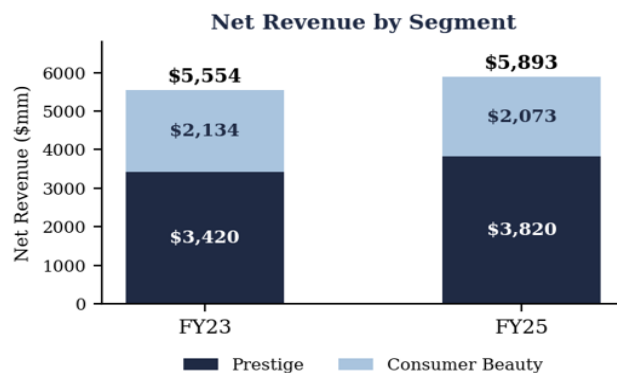


Figure 6: Net Revenue by Segment
Source: Company Filings (SEC 8-K), FY23 & FY2025

Segment Mix (FY25)	
Prestige	65%
Consumer Beauty	35%

Figure 7: Segment Mix
Source: Company Filings (SEC 10-K), FY2025

Ownership	
JAB Beauty B.V.	>50%
Status	Controlled Co.

Figure 8: Ownership
Source: Company Filings (SEC 10-K) & Yahoo Finance

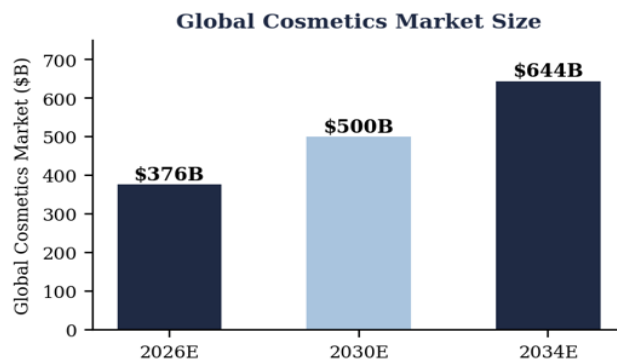


Figure 9: Global Cosmetics Market Size
FY2030E is a team estimate, interpolated at the reported CAGR
Source: Fortune Business Insights, 2026 (2026E/2034E figures; 6.97% CAGR)

Category Mix

Skincare represents the largest share of the overall beauty market at roughly 40-42%, reflecting a broader industry shift toward skincare and premiumization, a trend to which Coty is only partially exposed given its fragrance-heavy portfolio. Asia Pacific is the largest regional market, holding roughly 40% share, driven by rising incomes and premium beauty demand in China, India, and Southeast Asia (Figures 11 and 12).

Structural Themes

Prestige or mass bifurcation: Prestige fragrance and skincare have outgrown mass cosmetics for several years, rewarding companies with strong licensed/luxury portfolios (Coty's core strength) while punishing mass color cosmetics (Coty's structurally weaker segment).

Digital and DTC disruption: social media and influencer-driven discovery (an estimated 70% of beauty product discovery) have lowered barriers to entry for niche, digitally native brands, intensifying competition for mass incumbents like CoverGirl and Rimmel.

License-dependent competitive structure: Prestige fragrance and cosmetics rely heavily on fashion-house licensing, so market share can shift when a license changes hands. The July 2026 agreement to transition Gucci Beauty back to Kering illustrates this risk.

Macro sensitivity: beauty has historically been viewed as recession-resilient, but the 2025 slowdown suggests higher exposure to inflation-driven consumer pullback and retailer inventory normalization than the industry narrative typically assumes.

Competitive Positioning

Coty holds the second-largest global fragrance position, with Prestige fragrance as the clear profit engine (about 60% of FY2025 revenue) and category-leading brand loyalty in scent, which the company argues is more durable than in cosmetics or skincare.

Coty's remaining major Prestige licenses are generally long-dated, which supports revenue visibility. However, the early Gucci transition shows that contractual duration does not eliminate counterparty and strategic risk.

Balance sheet progress: The December 2025 sale of Coty's remaining Wella stake generated \$750 million of upfront cash and supported debt reduction, bringing financial net leverage to approximately 3.0x at the end of 2025.

Cost discipline: the All-In to Win productivity program, the new Barcelona supply chain hub, and reshoring of U.S.-bound fragrance production for tariff mitigation.

Coty's Exposure

Gucci Beauty license transition: Coty will operate the brand through at least June 30, 2027 under the July 2026 agreement with Kering. L'Oréal's successor license begins July 1, 2027, subject to regulatory approvals, leaving Coty without a meaningful Prestige revenue stream from FY2028.

Consumer Beauty structural decline, particularly mass color cosmetics, where private label and digitally native brands continue to erode share; this segment fell more sharply than Prestige in FY2025.

The simultaneous CEO and Board leadership transition effective January 1, 2026 adds execution risk as management implements Coty.Curated.

Concentrated ownership through JAB, Coty's controlled-company status, and exemptions from certain NYSE governance requirements may concern some investors (Figures 13 to 15).

II. Common-Size Income Statements

Appendix F presents Coty's common-size income statements for FY2022 through FY2025, showing each line item in both dollar terms and as a percentage of net revenue. The table supports the analysis below by highlighting the improvement in gross margin, the increase in SG&A and restructuring costs, the FY2025 impairment charge, and the resulting decline in operating and net margins.

Growth Rate Comparison	
Global Cosmetics CAGR	6.6-7.0%
Clean Beauty CAGR	16.8%
2023 YoY Growth	8.7%
2025 YoY Growth	6.7%

Figure 10: Growth Rate Comparison

Source: Fortune Business Insights, 2026; Euromonitor International, 2024; Grand View Research, 2026

Category Share (Global)	
Skincare	~40%

Figure 11: Category Share (Global)

Source: Fortune Business Insights, 2026

Regional Share	
Asia Pacific	~40%
North America	~34%

Figure 12: Regional Share

Source: Grand View Research, 2026

Competitive Strengths	
Global Fragrance Rank	#2
Prestige Share of FY2025 Revenue	~65%
Long-Dated Prestige Licenses	Core strength
Financial Net Leverage (Dec. 2025)	~3.0x

Figure 13: Competitive Strengths

Source: Company Filings (SEC 10-K), FY2025

Key Risks	
Gucci Beauty Transition	Jul. 2027
Consumer Beauty FY2025 Rev. Decline	(8%)
Leadership Transition	Jan. 2026

Figure 14: Key Risks

Source: Company Filings (SEC 10-K), FY2025

Ownership Structure	
JAB Beauty B.V.	>50%
NYSE Status	Controlled Co.

Figure 15: Ownership Structure

Source: Company Filings (SEC 10-K), FY2025

Revenue growth

Coty's revenue growth was uneven across the review period. Revenue increased 14.6% in FY2022, slowed to 4.7% in FY2023, and recovered to 10.2% in FY2024. This trend reversed in FY2025, with revenue declining 3.7%. The decline was concentrated in Consumer Beauty rather than Prestige. Consumer Beauty revenue fell 8% on a reported basis, driven by weaker color cosmetics and body-care demand, lower sales volume, increased promotions, and unfavorable foreign exchange. Prestige revenue declined only 1% on a reported basis and remained slightly positive on a like-for-like basis. Coty's FY2025 revenue weakness was therefore segment-specific rather than company-wide (Figure 16; Appendix F).

Gross margin

Gross margin increased steadily from 63.5% in FY2022 to 64.8% in FY2025, representing a cumulative improvement of about 130 basis points. FY2025 gross margin improved by a further 40 basis points despite the revenue decline (Figure 17; Appendix F).

The improvement reflects manufacturing efficiencies, procurement savings, lower material costs, reduced excess and obsolete inventory expense, and pricing benefits. Increased discounts and promotions partially offset these gains. The higher gross margin indicates that Coty's core production economics remained resilient and were not the primary cause of the FY2025 decline.

SG&A and the items pressuring operating income

The main weakness appeared below gross profit. SG&A rose by 100 basis points as a percentage of revenue in FY2025, from 51.7% to 52.7%. Although SG&A declined in absolute terms, it did not decline as quickly as revenue. This reflects weak operating leverage and limited flexibility in Coty's cost structure.

The increase was associated partly with the KKW Collaboration Agreement termination. Two additional items pressured operating income. The asset impairment charge equaled 3.6% of FY2025 revenue; no impairment was recorded in FY2023 or FY2024, although FY2022 included a smaller \$31.4 million charge. The income statement reports \$76.7 million of FY2025 restructuring costs. Coty's broader non-GAAP measure of restructuring and business-realignment costs was \$91.8 million because it also included \$15.1 million recorded within cost of sales and SG&A. Part V and the valuation use the broader measure. These charges reduced operating income without indicating a breakdown in product-level gross margin.

Operating margin

Operating margin improved from a loss in FY2021 to 9.8% in FY2023, held at 8.9% in FY2024, then declined sharply to 4.1% in FY2025. Because revenue decreased by less than 4% and gross margin continued to improve, the decline was not primarily caused by weaker product-level profitability. Instead, the pressure emerged below gross profit, particularly from restructuring and impairment charges. Lower gross profit was partly offset by reductions in SG&A and amortization, while higher restructuring and impairment charges accounted for most of the decline. The company maintained some cost discipline despite lower revenue, but the impairment and restructuring charges more than offset those savings (Figure 18; Appendix F).

Net income

Coty's net loss was driven not only by weaker operating performance, but also by significant non-operating expenses. The main contributors were losses related to forward repurchase contracts and unfavorable fair-value changes in the Wella investment. Because these items are volatile and are not directly tied to Coty's core beauty operations, they should be separated from the evaluation of underlying operating profitability.

III. Financial Ratios and DuPont

Coty's liquidity position is weak across the entire period and does not show meaningful improvement. The current ratio sits below 1.0 every year, moving from 0.66x in FY2022 to a high of 0.77x in FY2025, and the cash ratio never climbs above 0.12x, meaning cash on hand covers only a small fraction of short-term

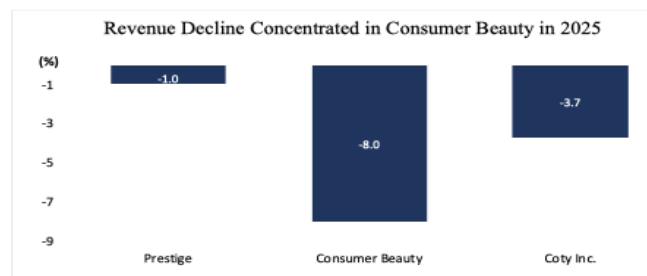


Figure 16: FY2025 Revenue Growth by Segment
Source: Coty Inc. FY2025 Form 10-K, MD&A (Item 7)

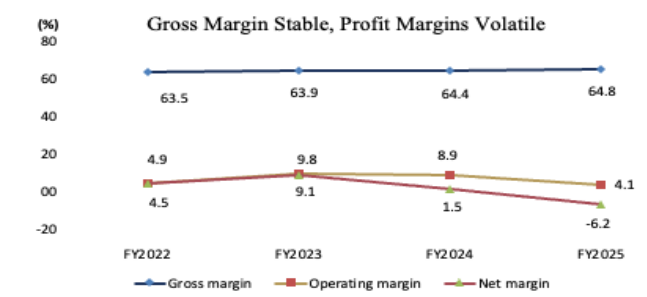


Figure 17: Margin Trends, FY2021-FY2025
Source: Coty Inc. Form 10-K filings, Item 8

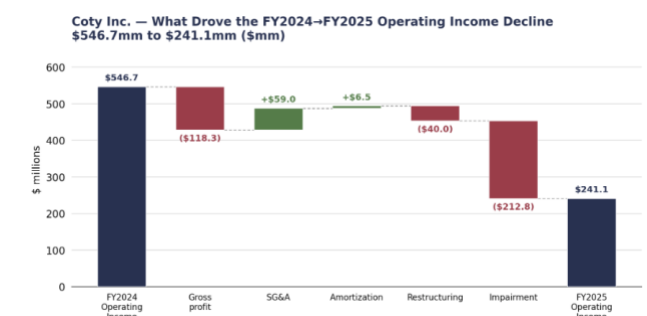


Figure 18: Operating Income Bridge, FY2024 to FY2025
Source: Coty Inc. Form 10-K filings; Team Analysis, 2026

obligations. Taken alone, this looks like a company that would struggle to meet near-term liabilities. But the negative cash conversion cycle changes that picture. Coty collected receivables in 23.8 to 30.0 days and held inventory for 124.8 to 137.3 days, while reported days payable outstanding increased from 239.2 days in FY2022 to 342.4 days in FY2025. The cash conversion cycle therefore became more negative, moving from -89.4 to -175.2 days. The DPO calculation uses accounts payable and accrued expenses, so it is broader than a pure trade-payables measure and should be interpreted cautiously. Even with that limitation, the results indicate that supplier financing remained an important source of operating liquidity.

Profitability trends are more concerning. Gross margin improved from 63.5% in FY2022 to 64.8% in FY2025, indicating that pricing and product-level economics remained resilient. However, operating margin fell from 9.8% in FY2023 to 4.1% in FY2025, and net margin declined from 9.1% to -6.2%. The deterioration occurred below gross profit through SG&A, amortization, restructuring, impairment, interest expense, and other non-operating charges. ROA and ROE both turned negative in FY2025.

The debt ratio stays elevated throughout, ranging from 64.8% to 70.6%, meaning roughly two-thirds or more of Coty's assets are financed with liabilities rather than equity in every year shown. Times interest earned tells the clearest story of financial stress: it improves from 1.08x in FY2022 to 2.17x in FY2024, then collapses back to 1.13x in FY2025. A ratio near 1.0x means operating income barely covers interest expense, which is a real concern given how much debt sits on Coty's balance sheet and deserves further scrutiny of the debt maturity schedule (Figure 19).

DuPont Analysis

The five-way DuPont analysis shows that both operating and below-operating-line factors contributed to the decline in ROE. ROE increased from 8.01% in FY2022 to 14.25% in FY2023, then fell to 2.73% in FY2024 and -9.06% in FY2025. Asset turnover remained near 0.44 to 0.50 and the equity multiplier declined from 3.62 to 3.10, so asset utilization and increasing leverage were not the main causes. The operating margin decline to 4.09% and the negative interest burden were the principal drivers.

The interest burden ratio fell from 1.77 in FY2022 to 1.30 in FY2023, 0.37 in FY2024, and -1.43 in FY2025. The negative FY2025 ratio means EBT was below zero even though EBIT remained positive because interest and other non-operating expenses exceeded operating profit. The FY2025 tax burden of 101.57% is also distorted because both EBT and consolidated net income were negative. The DuPont calculation uses consolidated net income so the five components reconcile, while the standard ROE ratio uses net income attributable to Coty Inc. and therefore differs slightly.

Coty's core operating business remained profitable, but ROE was reduced by the lower operating margin, high interest expense, other non-operating charges, and impairment charges recognized within operating income (Figures 20 and 21).

IV. Statement of Cash Flows

Operating cash flow was positive in all five years, including FY2025, when Coty reported a net loss. CFO increased from \$318.7 million in FY2021 to \$726.6 million in FY2022, then declined gradually to \$492.6 million in FY2025. Positive CFO during the FY2025 loss year is an earnings-quality signal because impairment, forward-repurchase losses, and Wella valuation changes affected reported earnings without creating equivalent current-period operating cash outflows.

Investing cash flow shifted from divestiture-driven inflows to normal reinvestment. FY2021 and FY2022 were positive mainly because proceeds from the Wella transaction, asset sales, and investment returns exceeded capital expenditures. From FY2023 to FY2025, investing cash flow turned negative as capital spending exceeded asset-sale proceeds. Therefore, the earlier positive inflows were not recurring operating strength.

Financing cash flow was negative throughout the period. Large FY2021 and FY2022 outflows mainly reflected debt repayments following the Wella transaction. Later years included both new borrowings and repayments, along with

Financial Ratios, FY2022-FY2025				
Ratio	FY22	FY23	FY24	FY25
Current Ratio	0.66x	0.75x	0.75x	0.77x
Cash Ratio	0.10x	0.10x	0.12x	0.11x
DIO (Days)	124.8	137.8	135.5	137.3
DSO (Days)	25.1	23.8	23.9	30.0
DPO (Days)	239.2	246.7	288.3	342.4
Quick Ratio	0.24	0.22	0.29	0.31
Cash Conv. Cycle	-89.4	-85.1	-128.9	-175.2
Fixed Asset TO	7.41x	7.78x	8.55x	8.25x
Total Asset TO	0.44x	0.45x	0.49x	0.49x
Debt Ratio	70.6%	66.6%	64.8%	66.8%
Times Int. Earned	1.08x	2.11x	2.17x	1.13x
Gross Margin	63.5%	63.9%	64.4%	64.8%
Operating Margin	4.5%	9.8%	8.9%	4.1%
Net Margin	4.9%	9.1%	1.5%	-6.2%
ROA	2.1%	4.1%	0.7%	-3.1%
ROE	7.8%	13.8%	2.2%	-9.5%

Figure 19: Financial Ratios, FY2022-FY2025
Source: Company Filings (SEC 10-K), FY2022-FY2025

Five-Way DuPont Decomposition of ROE						
Year	Op. Margin	Int. Burden	Tax Burden	Asset TO	Equity Mult.	ROE
FY2022	4.54%	1.77	62.72%	0.44	3.62	8.01%
FY2023	9.79%	1.30	74.23%	0.45	3.37	14.25%
FY2024	8.94%	0.37	53.50%	0.50	3.08	2.73%
FY2025	4.09%	-1.43	101.57%	0.49	3.10	-9.06%

Figure 20: Five-Way DuPont Decomposition of ROE
Source: Company Filings/Team Analysis, 2026
Note: The standard ROE ratio uses net income attributable to Coty Inc., while the DuPont decomposition uses consolidated net income so that the five components reconcile mathematically. The resulting ROE figures therefore differ slightly.

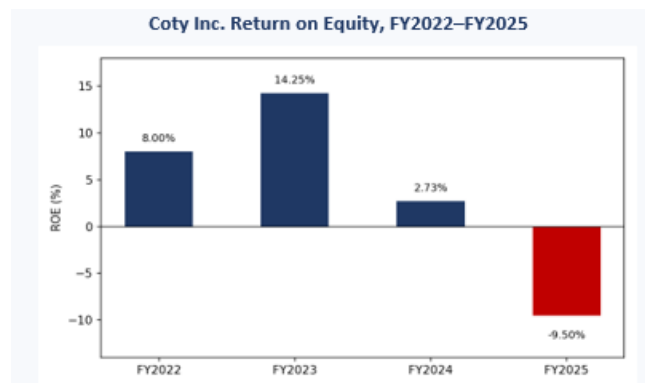


Figure 21: Return on Equity, FY2022-FY2025
Source: Company Filings/Team Analysis, 2026

dividends and forward-repurchase-related payments. Therefore, the negative financing cash flow reflects active financing management rather than continuous deleveraging (Figures 22 and 23).

Free cash flow margin fell from 10.4% in FY2022 to 4.7% in FY2025. Coty continued to generate enough operating cash flow to cover capital expenditures, but cash-generation strength weakened. Cash flow adequacy remained below 1.0x because CFO did not fully cover capital spending, gross debt repayments, and dividends. The inclusion of repeated revolver borrowings and repayments in the denominator overstates Coty's recurring debt-service burden.

Operating cash flow exceeded net income in every year. Positive CFO during the loss years indicates that noncash and non-operating items significantly affected reported earnings. Coty remained cash-generative throughout FY2021-FY2025, but both operating cash flow margin and free cash flow margin declined after FY2022. Working-capital outflows, financing obligations, and payments related to forward repurchase contracts also reduced financial flexibility (Figures 24 and 25; Appendix G).

V. Earnings Management and Earnings Quality

Coty moved from net income attributable to common stockholders of \$76.2 million in FY2024 to a net loss of \$381.1 million in FY2025. Net loss attributable to Coty Inc. before preferred dividends was \$367.9 million. Much of the year-over-year swing came from noncash, non-operating, or estimate-based items, although Consumer Beauty also weakened operationally.

Noncash Impairment Charge

FY2025 results included a \$212.8 million noncash impairment related to the Max Factor, CoverGirl, Bourjois, and Philosophy trademarks. This charge accounted for a large portion of the decline in reported operating income, which fell from approximately \$547 million in FY2024 to \$241.1 million in FY2025. Adjusted operating income, which excludes impairment, restructuring, and other specified items, declined only 1%, from \$863.4 million to \$852.9 million (Figure 26).

Early Termination and Wind-Down Costs

Coty recorded \$70.3 million of early license termination and market-exit costs in FY2025 related to the KKW Collaboration Agreement and the wind-down of its Russia business. These costs were included within operating expenses and therefore reduced reported operating income, which is why the team adds them back in the Part VI normalization. FY2024 included a \$0.5 million gain from the early termination of the Lacoste license. These items reduce comparability across periods.

Forward-Repurchase Contracts and Wella Valuation

Coty recorded \$291.7 million of net losses on forward-repurchase contracts in FY2025, compared with \$124.2 million in FY2024. Separately, the company recognized an \$83.0 million unfavorable fair-value adjustment on its Wella investment, compared with a \$25.0 million favorable adjustment in FY2024. Both items were recorded below operating income and contributed materially to the decline in reported earnings, but they arose from different transactions and should be analyzed separately (Figure 27). Together with the other adjustments, they also contributed to the wider decline in reported EPS than adjusted EPS (Figure 28).

Deferred Tax Valuation Allowance

The valuation allowance against deferred tax assets increased from \$151.4 million in FY2024 to \$274.1 million in FY2025. The increase was driven mainly by interest-expense-limitation carryforwards that management considered less likely to be realized. Coty's adjusted effective tax rate consequently increased from 26.5% to 35.1%. Because the allowance depends on expectations about future taxable income, it involves significant management judgment.

Net Cash Flow Summary	FY2021	FY2022	FY2023	FY2024	FY2025
Net Cash Flow from Operating Activities	\$318.7	\$726.6	\$625.7	\$614.6	\$492.6
Net Cash Flow from Investing Activities	\$2,441.9	\$269.7	(\$118.2)	(\$226.2)	(\$128.4)
Net Cash Flow from Financing Activities	(\$2,795.1)	(\$1,034.1)	(\$469.3)	(\$336.7)	(\$426.8)
Change in Cash on Balance Sheet	(\$41.6)	(\$46.7)	\$20.0	\$36.8	(\$50.2)

Figure 22: Net Cash Flow Summary, FY2021-FY2025

Source: Coty Inc. Consolidated Statements of Cash Flows, Item 8

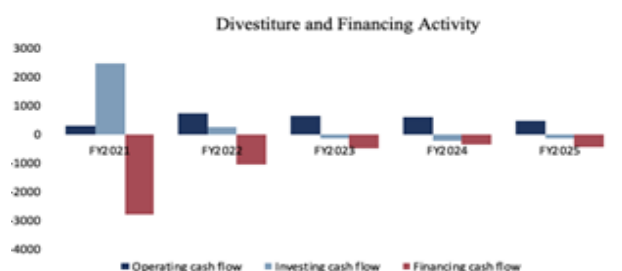


Figure 23: Investing and Financing Activity, FY2021-FY2025

Source: Coty Inc. Consolidated Statements of Cash Flows, Item 8

Cash Flow Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Cash Flow Margin	6.9%	13.7%	11.3%	10.0%	8.4%
Free Cash Flow (\$M)	144.8	552.5	402.9	369.4	277.6
Cash Flow Adequacy	0.04x	0.30x	0.30x	0.13x	0.17x
CFO vs. Net Income	n/m	2.71x	1.20x	5.62x	n/m

Figure 24: Cash Flow Ratios, FY2021-FY2025

Source: Coty Inc. Consolidated Statements of Cash Flows, Item 8

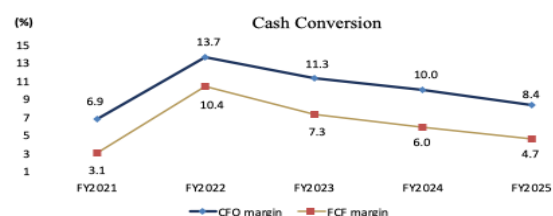


Figure 25: Cash Flow Margin and Free Cash Flow Margin, FY2021-FY2025

Source: Coty Inc. Form 10-K filings, Item 8

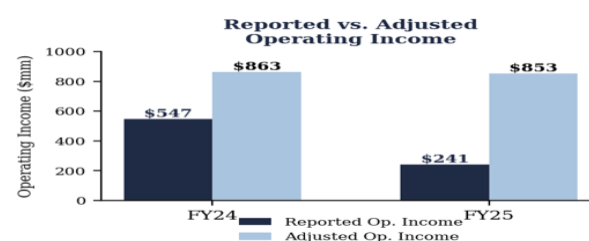


Figure 26: Reported vs. Adjusted Operating Income

Source: Company Filings (SEC 10-K), FY2025

Restructuring and Business Realignment

Restructuring and business-realignment costs, measured on Coty's non-GAAP basis, increased from \$36.6 million in FY2024 to \$91.8 million in FY2025 under Coty's Fixed Cost Reduction Plan. The corresponding restructuring line on the income statement is \$36.7 million and \$76.7 million respectively; the difference reflects related costs recorded within cost of sales and SG&A. Although these costs are associated with efforts to improve future efficiency, their timing and measurement involve judgment and reduce comparability between reporting periods (Figure 27).

Underlying Operating Resilience

Coty's reported gross margin increased 40 basis points to 64.8% in FY2025, while adjusted gross margin increased 50 basis points to 64.9%. Supply chain savings and pricing supported the improvement, showing that the company's core product economics remained resilient despite the reported net loss. However, Consumer Beauty continued to face operating pressure, and its adjusted operating income declined 38% (Figure 29).

VI. Valuation

We value Coty using the income approach through a DCF model rather than the market approach. First, Coty's FY2025 results are distorted by one-time items, most notably a \$212.8M asset impairment charge and \$91.8M in restructuring costs, which pushed reported operating income down to \$241.1M from \$546.7M in FY2024. A market approach built on trailing multiples would either have to exclude FY2025 or apply a multiple to a distorted denominator. The income approach allows us to normalize these items and build the forecast from sustainable operating performance. Second, our comparable set (Estée Lauder, e.l.f. Beauty, Interparfums) spans a wide range of business models, growth profiles, and scale, none of which closely mirrors Coty's mixed Prestige and mass structure or its debt load. The resulting EV/Revenue and EV/EBITDA multiples range too widely (2.46x-3.25x revenue, 12.87x-33.14x EBITDA) to anchor a reliable valuation. We use the comps as a directional check only (Appendix C).

For the DCF base year, we use team-normalized EBIT rather than reported EBIT. The calculation adds back the \$212.8 million impairment charge, \$70.3 million of early termination and market-exit costs, and \$91.8 million of restructuring and business-realignment costs identified in Parts II and V. This produces team-normalized EBIT of \$616.0 million for FY2025, compared with reported operating income of \$241.1 million. The measure is narrower than Coty's company-reported adjusted operating income of \$852.9 million because it does not add back amortization, stock-based compensation, or every item included in Coty's non-GAAP reconciliation.

Revenue and EBIT grow at the same rate in the model, reflecting the team's assumption that Coty's fixed-cost structure causes operating profit to move broadly with volume. We use 2.5% growth in FY2026E and FY2027E to reflect a gradual recovery after the FY2025 decline. From FY2028E onward, the model uses 6.0%, a rounded average of Coty's annual revenue growth rates from FY2022 through FY2025 rather than the compound annual growth rate. This step-up is an optimistic judgment because FY2028 is also the first full fiscal year after the Gucci Beauty transition. D&A and capital expenditures follow the same forecast pattern, consistent with the relatively stable fixed-asset turnover trend.

The model increases annual working-capital investment by 12.75% per year, using the historical movement in Coty's net working-capital balance as a reference. Coty's cash conversion cycle became more negative from FY2022 to FY2025, largely because reported payable days increased. Because the DPO series uses accounts payable and accrued expenses, the historical trend has a comparability limitation. Treating working capital as a growing use of cash is conservative relative to the historical cash conversion cycle, but it avoids assuming that additional supplier financing continues indefinitely. We use a normalized 25% tax rate because the FY2025 effective rate is distorted by a pretax loss and valuation-allowance effects.

Discount Rate

We estimate the cost of equity using CAPM with a 4.60% risk-free rate, a 1.60 beta, and a 4.20% equity risk premium, producing an 11.32% cost of equity.

Key Swing Items (FY24 to FY25)	
Reported common-stockholder NI	\$76.2M to (\$381.1M)
Asset impairment charge	\$0 to \$212.8M
Forward-repurchase contract losses	\$124.2M to \$291.7M
Wells fair-value adjustment	\$25.0M gain to \$83.0M loss
Restructuring / business realignment	\$36.6M to \$91.8M
Tax valuation allowance	\$151.4M to \$274.1M

Figure 27: Key Swing Items, FY2024 to FY2025
Source: Company Filings (SEC 10-K), FY2025

Reported vs. Adjusted EPS	
Reported EPS (FY24)	\$0.09
Reported EPS (FY25)	(\$0.44)
Adjusted EPS (FY24)	\$0.37
Adjusted EPS (FY25)	\$0.22

Figure 28: Reported vs. Adjusted EPS
Source: Company Filings (SEC 10-K), FY2025

Margin Trend (Genuine)	
Reported Gross Margin	+40 bps
Adjusted Gross Margin	+50 bps
Adjusted Op. Income Decline	(1%) only

Figure 29: Gross Margin Trend
Source: Company Filings (SEC 10-K), FY2025

WACC Build-up	
WACC Build-up	Value
Rf (10Y UST)	4.60%
Beta (peer avg.)	1.60
Risk Premium	4.20%
Cost of Equity	11.32%
Pre-tax Cost of Debt	5.60%
Tax Rate	25%
After-tax Cost of Debt	4.20%
E / V	48.44%
D / V	51.56%
WACC (Base)	7.65%

Figure 30: WACC Build-up
Source: FRED, Yahoo Finance, Damodaran, Team Analysis, 2026

Because the assignment treats Coty as a private company, we use the average observed beta of Estée Lauder, e.l.f. Beauty, and Interparfums rather than Coty's traded beta. This is a simplified proxy because the peer betas are averaged without first unlevering and relevering them to a common capital structure. Given Coty's leverage and weak interest coverage, the resulting cost of equity may understate the company's actual risk (Appendix B).

The pre-tax cost of debt is 5.60%, or 4.20% after tax using the 25% normalized tax rate. The assignment requires Coty to be treated as a private company, and the team therefore uses book-value capital weights as a simplifying assumption. Book equity of \$3,719 million and book debt of \$3,959 million produce weights of 48.44% equity and 51.56% debt and a base-case WACC of 7.65%. The 6.65% and 8.65% rates provide standard bull and bear sensitivities, while the extended 12.0% scenario tests the risk level reflected in the market price (Figure 30; Appendix B).

Terminal Value and Valuation

We use a 1.0% terminal growth rate to reflect Coty's maturity, leverage, and execution risk. Discounting the explicit free cash flow forecast and terminal value at the 7.65% base-case WACC produces enterprise value of approximately \$10,126.1 million. After subtracting \$3,959.0 million of debt and adding \$257.1 million of cash, the model produces equity value of approximately \$6,424.2 million, or \$7.36 per share on 872.3 million shares outstanding (Figure 34; Appendix E).

The standard WACC and terminal-growth sensitivity grid produces values from \$5.35 to \$10.54 per share. For the recommendation, we use a narrower risk-adjusted range of \$2.70 to \$7.36. The lower bound applies a 12.0% discount rate, which approximately reproduces the verified July 30, 2026 closing price of \$2.69, while the upper bound is the 7.65% base case. The gap between the base case and the market therefore reflects discount-rate, normalization, and growth assumptions rather than a conclusion that the stock is clearly mispriced (Figures 2, 32, and 33; Appendix D).

VII. Investment Recommendation

We recommend HOLD and use a risk-adjusted valuation range of \$2.70 to \$7.36 per share. The base-case DCF is well above the verified July 30, 2026 close of \$2.69, but the valuation is highly sensitive to the discount rate and the treatment of recurring adjustments. At a 12.0% discount rate, the model produces approximately \$2.70 per share, which is close to the market price.

Holding the forecast and 1.0% terminal growth rate constant, the team's rounded \$2.80 reference price implies a discount rate of about 11.9%, while the verified \$2.69 closing price is approximately reproduced at 12.0%. Both rates are above the 7.65% base-case WACC and close to the 11.32% estimated cost of equity. This indicates that investors are assigning more risk to Coty than the base case captures, consistent with FY2025 times interest earned of 1.13x and continued weakness in Consumer Beauty.

The main valuation risks are the book-value capital weights, the peer-beta proxy, the 6.0% growth step-up beginning in FY2028E, and the normalization of recurring charges. The growth step-up begins in the first full fiscal year after Coty stops operating Gucci Beauty. The model also adds back \$212.8 million of impairment, \$91.8 million of restructuring and business-realignment costs, and \$70.3 million of early termination and market-exit costs. Coty recorded another \$362.8 million Consumer Beauty impairment in Q3 FY2026, which weakens the assumption that major adjustments will not recur.

Upside would come from stabilization in Consumer Beauty, lower leverage, improved interest coverage, and successful replacement of the Gucci contribution. Downside would increase if free cash flow margin falls below approximately 3%, Consumer Beauty continues to decline, or further impairments are recorded. These risks support a HOLD rather than a BUY despite the higher base-case DCF value. We would move to BUY if Consumer Beauty like-for-like revenue stabilizes, times interest earned recovers above approximately 2.0x, and management presents a credible plan to replace the Gucci contribution. We would move to SELL if free cash flow margin falls below approximately 3%, additional material impairments are recorded, or the FY2026 like-for-like decline persists into FY2027. Until then, the market price appears to balance Coty's resilient Prestige franchise and positive cash generation against leverage, earnings-quality, and license-transition risks.

Free Cash Flow Forecast (\$M)			
(\$M)	2025A	2027E	2030E
Team-Normalized EBIT	616.0	647.19	770.81
Tax Expense	154.0	161.80	192.70
NOPAT	462.0	485.39	578.11
D&A	420.0	422.05	502.67
NOPAT + D&A	882.0	907.44	1,080.77
CAPEX	(215.0)	(225.88)	(269.03)
Change in NWC	(53.30)	(67.76)	(97.12)
Unlevered FCF	613.70	613.80	714.62

Figure 31: Free Cash Flow Forecast
Source: Team Analysis, 2026

Implied Share Price — WACC vs. Terminal Growth			
WACC \ g	0.50%	1.00%	1.50%
8.65% (Bear)	\$5.35	\$5.82	\$6.36
7.65% (Base)	\$6.72	\$7.36	\$8.11
6.65% (Bull)	\$8.54	\$9.46	\$10.54

Figure 32: Implied Share Price, WACC vs. Terminal Growth
Source: Team Analysis, 2026

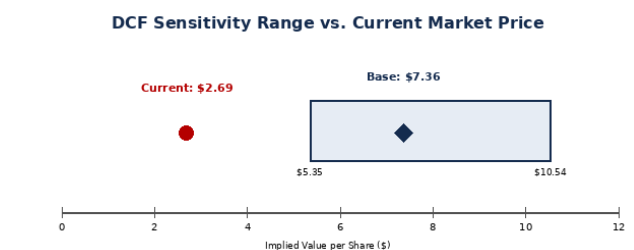


Figure 33: DCF Value Range vs. Market Price
Source: Team Analysis, 2026; July 30, 2026 closing price from Yahoo Finance

DCF Valuation Bridge (Base Case)	
Valuation Bridge	\$M / \$
Enterprise Value	10,126.1
Less: Total Debt	(3,959.0)
Plus: Cash & Equiv.	257.1
Equity Value	6,424.2
Shares Outstanding (M)	872.3
Implied Value / Share	\$7.36

Figure 34: DCF Valuation Bridge, Base Case
Source: Team Analysis, 2026; July 30, 2026 closing price from Yahoo Finance

APPENDIX

Appendix A: Free Cash Flow Forecast, FY2025A - FY2031E

(\$M)	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Revenue / EBIT Growth Rate	—	2.50%	2.50%	6.00%	6.00%	6.00%	6.00%
Team-Normalized EBIT	616.00	631.40	647.19	686.02	727.18	770.81	—
Tax Expense (25%)	154.00	157.85	161.80	171.50	181.79	192.70	—
NOPAT	462.00	473.55	485.39	514.51	545.38	578.11	—
Depreciation & Amortization	420.00	421.03	422.05	447.37	474.22	502.67	—
NOPAT + D&A	882.00	894.58	907.44	961.89	1,019.60	1,080.77	—
CAPEX	(215.00)	(220.38)	(225.88)	(239.44)	(253.80)	(269.03)	—
Change in NWC (12.75% growth)	(53.30)	(60.10)	(67.76)	(76.40)	(86.14)	(97.12)	—
Unlevered Free Cash Flow	613.70	614.10	613.80	646.05	679.66	714.62	721.77

Note: Team-Normalized EBIT for FY2025A adds back the \$212.8M asset impairment charge, \$70.3M of early termination and market-exit costs, and \$91.8M of restructuring and business-realignment costs identified in Part V. FY2026E-FY2027E growth of 2.50% reflects a gradual recovery following the FY2025 decline. FY2028E onward uses 6.00%, a rounded average of Coty's annual revenue growth rates from FY2022 through FY2025, not the compound annual growth rate. D&A and CAPEX follow the same forecast pattern as EBIT. Annual working-capital investment grows at 12.75%. Unlevered Free Cash Flow in this table is built from team-normalized EBIT and differs from the CFO-minus-capex measure in Part IV and Appendix G.

Source: Team Analysis, 2026; based on Company Filings (FY2025 and FY2023 Form 10-K)

Appendix B: WACC Build-up and Sources

WACC Component	Value	Source
Rf (10-Year U.S. Treasury Yield)	4.60%	FRED (fred.stlouisfed.org/series/DGS10)
Beta of Coty (peer average)	1.60	Comparable company betas, Yahoo Finance
Risk Premium	4.20%	Damodaran (aswathdamodaran.blogspot.com)
Cost of Equity (CAPM)	11.32%	$R_f + \text{Beta} \times \text{Risk Premium}$
Book Value of Equity	\$3,719M	Book value used (Coty treated as a private company)
Book Value of Debt	\$3,959M	Book value used (Coty treated as a private company)
Pre-tax Cost of Debt	5.60%	Company Filings, FY2025 10-K
Tax Rate	25%	Judgment call - Coty's FY2025 effective rate is distorted (~35.1%) by a pretax loss
V = E + D	\$7,678M	Sum of equity and debt
E / V	48.44%	Equity weight
D / V	51.56%	Debt weight
After-tax Cost of Debt	4.20%	$\text{Pre-tax cost of debt} \times (1 - \text{Tax Rate})$
WACC (Base Case)	7.65%	$(E/V \times \text{Cost of Equity}) + (D/V \times \text{After-tax Cost of Debt})$
WACC (Bear Case)	8.65%	Base case + 1.00% sensitivity band
WACC (Bull Case)	6.65%	Base case - 1.00% sensitivity band

Source: FRED, Yahoo Finance, Damodaran Online, Company Filings, Team Analysis, 2026

Appendix C: Comparable Companies Analysis - market data as of June 30, 2025; betas as of July 22, 2026

Company	Ticker	Market Cap (\$B)	EV (\$B)	EV / Revenue	EV / EBITDA	Beta (as of 7/22/2026)
Estée Lauder	EL	\$30.26	\$36.43	2.46x	27.62x	1.26
e.l.f. Beauty	ELF	\$4.69	\$5.32	3.25x	33.14x	2.39
Interparfums	IPAR	\$3.99	\$3.93	2.63x	12.87x	1.15
Average	—	—	—	2.78x	24.54x	1.60

Note: Comparable set used as a directional sanity check only, given the wide dispersion in business model, scale, and growth profile relative to Coty; not used as the primary valuation method. Average beta of 1.60 is used as the beta input in Appendix B.
Source: Capital IQ, Company Filings, Team Analysis, 2026

Appendix D: Implied Share Price Sensitivity - WACC vs. Terminal Growth Rate

WACC	g = 0.50%	g = 1.00%	g = 1.50%
8.65% (Bear)	\$5.35	\$5.82	\$6.36
7.65% (Base)	\$6.72	\$7.36	\$8.11
6.65% (Bull)	\$8.54	\$9.46	\$10.54

Note: Base case (WACC 7.65%, terminal growth 1.00%) implies \$7.36 per share. A higher WACC lowers present value (bear case); a lower WACC raises it (bull case).
Source: Team Analysis, 2026

Appendix E: DCF Valuation Bridge, Base Case

Valuation Bridge	\$M / \$ / #
PV of Explicit FCF (FY2026E–FY2030E)	\$2,618.41M
PV of Terminal Value	\$7,507.68M
Enterprise Value	\$10,126.09M
Less: Book Value of Debt	(\$3,959.00M)
Plus: Cash & Equivalents (FY2025)	\$257.10M
Equity Value	\$6,424.19M
Shares Outstanding	872.3M
Implied Value per Share (Base Case)	\$7.36

Source: Team Analysis, 2026

Appendix F: Common-Size Income Statement

	FY2022 \$	FY2022 %	FY2023 \$	FY2023 %	FY2024 \$	FY2024 %	FY2025 \$	FY2025 %
Net revenues	\$5,304.4	100.0%	\$5,554.1	100.0%	\$6,118.0	100.0%	\$5,892.9	100.0%
Cost of sales	\$1,935.2	36.5%	\$2,006.8	36.1%	\$2,178.8	35.6%	\$2,072.0	35.2%
Gross profit	\$3,369.2	63.5%	\$3,547.3	63.9%	\$3,939.2	64.4%	\$3,820.9	64.8%
Selling, general and administrative expenses	\$2,881.3	54.3%	\$2,818.3	50.7%	\$3,162.4	51.7%	\$3,103.4	52.7%
Amortization expense	\$207.4	3.9%	\$191.8	3.5%	\$193.4	3.2%	\$186.9	3.2%
Restructuring costs	(\$6.5)	-0.1%	(\$6.5)	-0.1%	\$36.7	0.6%	\$76.7	1.3%
Acquisition- and divestiture-related costs	\$14.7	0.3%	-	-	-	-	-	-
Asset impairment charges	\$31.4	0.6%	-	-	-	-	\$212.8	3.6%
Operating income (loss)	\$240.9	4.5%	\$543.7	9.8%	\$546.7	8.9%	\$241.1	4.1%
Interest expense, net	\$224.0	4.2%	\$257.9	4.6%	\$252.0	4.1%	\$214.2	3.6%
Other expense (income), net	(\$409.9)	-7.7%	(\$419.0)	-7.5%	\$90.2	1.5%	\$371.7	6.3%
Income (loss) from continuing operations before income taxes	\$426.8	8.0%	\$704.8	12.7%	\$204.5	3.3%	(\$344.8)	-5.9%
Provision (benefit) for income taxes on continuing operations	\$164.8	3.1%	\$181.6	3.3%	\$95.1	1.6%	\$5.4	0.1%
Net income (loss) from continuing operations	\$262.0	4.9%	\$523.2	9.4%	\$109.4	1.8%	(\$350.2)	-5.9%
Net income (loss) from discontinued operations	\$5.7	0.1%	-	-	-	-	-	-
Net income (loss)	\$267.7	5.0%	\$523.2	9.4%	\$109.4	1.8%	(\$350.2)	-5.9%
Net income (loss) attributable to noncontrolling interests	(\$5.1)	-0.1%	(\$1.8)	-0.0%	\$5.3	0.1%	\$5.3	0.1%
Net income attributable to redeemable noncontrolling interests	\$13.3	0.3%	\$16.8	0.3%	\$14.7	0.2%	\$12.4	0.2%
Net income (loss) attributable to Coty Inc.	\$259.5	4.9%	\$508.2	9.1%	\$89.4	1.5%	(\$367.9)	-6.2%
Earnings (losses) per common share - basic (\$)	\$0.08	n/a	\$0.58	n/a	\$0.09	n/a	(\$0.44)	n/a
Annual net revenue growth rate				4.7%		10.2%		-3.7%

Source: Coty Inc. Form 10-K filings (Item 8, Consolidated Statements of Operations). FY2021-FY2022 from the fiscal 2023 10-K; FY2023-FY2025 from the FY2025 10-K. FY2022 basic EPS of \$0.08 reflects the deduction of \$198.3 million of Convertible Series B Preferred Stock dividends from net income attributable to Coty Inc. in arriving at income available to common stockholders.

Appendix G: Cash Flow Ratios

Cash Flow Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Cash Flow Margin	6.9%	13.7%	11.3%	10.0%	8.4%
Free Cash Flow	\$144.8	\$552.5	\$402.9	\$369.4	\$277.6
Cash Flow Adequacy	0.04x	0.30x	0.30x	0.13x	0.17x
CFO vs. Net Income	n/m	2.71x	1.20x	5.62x	n/m

Source: Analysis using Coty Inc. Form 10-K data. Cash Flow Margin = CFO / net revenues; Free Cash Flow = CFO - capital expenditures; Cash Flow Adequacy = CFO / (capital expenditures + debt repayments + dividends paid). Debt repayments include gross revolver activity, which overstates the recurring debt-service burden.

**n/m = not meaningful because reported net income was negative

Appendix H: References

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